

Federal Laws Relating to Prospecting

The federal Telephone Consumer Protection Act of 1991 (TCPA) and the regulations promulgated by the Federal Communications Commission (FCC) govern telephone solicitations and regulate the use of automatic telephone dialing systems, pre-recorded or artificial voice messages, unsolicited SMS/texts, and telephone facsimile machines. These laws apply to all solicitors, including you guessed it-real estate licensees.

Do Not Call Implementation Act of 2003

The **Do Not Call Implementation Act of 2003** was enacted in response to consumer concerns regarding unwanted telemarketing calls. Under the law, it's illegal to make a phone solicitation to any household that has listed its number in the Federal Trade Commission's **Do Not Call Registry** (also called the Do Not Contact Registry) unless you already have a business relationship with that household or have permission from the household to call.

Note, though, that you can continue to call former customers for up to 18 months after being involved in a transaction with them. Additionally, you're allowed to call consumers for up to three months after an inquiry from them. As of January 1, 2005, telemarketers (including real estate licensees) are required to search the Do Not Call (Do Not Contact) Registry at least once every 31 days and drop the phone number of registered consumers from their call lists.

Fines for those who violate the law are steep. The maximum amounts are adjusted regularly, but are currently more than \$40,000 per violation (each call may be considered a separate violation) for lawsuits brought by the Federal Trade Commission.

Junk Fax Prevention Act of 2005

The **Junk Fax Prevention Act of 2005** makes it unlawful to send an unsolicited commercial message via fax unless the sender has permission from the recipient or an established business relationship with the recipient. All fax messages must contain an option for recipients to opt out of future faxes. If you receive an opt-out request, you must comply with it within 30 days.

Violators are subject to fines. The Federal Communications Commission enforces this act, and both the Federal Communications Commission and the Office of the Attorney General may fine violators of the JFPA.

CAN-SPAM Act of 2003

The **CAN-SPAM Act of 2003** serves to protect consumers from being bombarded with unwanted email solicitations. Under the law, commercial emails (which may include those sent through social media platforms and some forms of text message) must include all of the following:

- A legitimate return email and physical postal address
- A clear and conspicuous notice of the recipient's opportunity to opt out-that is, to decline to receive future messages
- An opt-out mechanism that is active for at least 30 days after the message has been sent
- A clear notice that the message is an advertisement or solicitation

When a consumer sends an opt-out request, it must be honored within 10 business days. If a consumer chooses to receive commercial emails from the business, the business still must comply with the law's other requirements, except that the messages need not be identified as advertisements or solicitations.

The law offers no private right of action for consumers, but each separate email in violation of the CAN-SPAM Act is subject to penalties similar to the fines for Do Not Call violations. As with the Do Not Call Registry, the Federal Trade Commission is responsible for enforcing the provisions of the CAN-SPAM Act. By the way, CAN-SPAM-although it sounds like a processed meat product-stands for Controlling the Assault of Non-Solicited Pornography and Marketing.